

2. INCREASED ENVIRONMENTAL REGULATION

- We believe we are ahead of our peers in anticipating new energy regulations; for example, because we were prepared, complying with AB 1103 was less burdensome for us than certain competitors, as it will be for AB 802 when that goes into effect. We successfully and proactively influence new environmental regulation such as the new Los Angeles benchmarking ordinance and a similar proposed ordinance in Santa Monica. Increased regulation could, however, result in increased costs that motivate some tenants to leave California entirely.
- We do not currently anticipate that the office real estate industry will be regulated by carbon legislation in the short term, though the effects of this legislation on other industries may indirectly affect us through higher energy costs, higher raw materials costs, and increased tenant demand for sustainable properties. The increased focus on emissions is why we verify and disclose our Scope 1 and 2 emissions both in this report and to a variety of disclosure platforms such as GRESB, CDP and DJSI.
- There may be increased government incentives for energy and water conservation, and we are well positioned to continue to take advantage of these opportunities.

3. HIGHER COSTS AND MORE REGULATION IN OUR SUPPLY CHAIN

- Sourcing materials for our buildings could become increasingly expensive, and there could be disruptions to the supply chains of our building materials, potentially extending construction times or preventing us from delivering buildings on time. Demographic changes resulting from climate change could prevent us from being able to source the labor needed to develop and operate our properties.
- Climate change could impact or stress services on which we rely, such as the energy grid, making it more difficult to operate our properties.
- Also, there could be increased permitting restrictions around new construction, potentially around water use or renewables.
- We have experienced development and asset management teams who will be able to mitigate these increases as much as possible. In addition, by committing to sustainable building, we have experienced expedited approvals and community support. Our battery installations can be retrofitted to take buildings off the grid if its reliability becomes compromised.

4. COMMUNITY IMPACTS

- The communities in which we operate could become increasingly stressed as a result of climate change, disrupting transportation, basic services and the ability of our tenants and employees to maintain current strong levels of productivity. The Building Resilience LA primer (www.resilience.la) will help us preserve business continuity under more strained community conditions.

5. BUSINESS IMPACTS

- Because we are so proactive on managing climate change risks, we are able to leverage those efforts by obtaining competitive insurance premiums for our buildings.
- By addressing customer and community sustainability objectives, we can be more successful in our development efforts and win more business.
- Being proactive in our community on sustainability via articles, industry forums and interviews also protects our reputation in our industry.
- We consider the risk of non-delivery of design performance in occupied buildings from climate change to be minimal.
- Because we recognize that as a result of climate change our stakeholders are asking for increased transparency, we have expanded our voluntary disclosure efforts, such as by including more sustainability content in the 10-K aligned with SASB (more information on page 99) and disclosing to the DJSI.

2017 GHG PERFORMANCE

Office	Absolute Consumption				Like-for-Like Consumption		
	2016	2017			2016	2017	
	Emissions (Tonnes)	Emissions (Tonnes)	Data Coverage (sf)	Max Coverage (sf)	Emissions (Tonnes)	Emissions (Tonnes)	Like-for-Like Change (%)
Scope 1	3,696	4,165	10,461,039	10,461,039	2,747	2,821	2.68%
Scope 2	39,670	39,516	13,557,757	13,584,461	35,009	32,059	-8.43%
					37,756	34,880	-7.62%

Life Sciences	Absolute Consumption				Like-for-Like Consumption		
	2016	2017			2016	2017	
	Emissions (Tonnes)	Emissions (Tonnes)	Data Coverage (sf)	Max Coverage (sf)	Emissions (Tonnes)	Emissions (Tonnes)	Like-for-Like Change (%)
Scope 1	363	476	1,322,576	1,322,576	363	476	31.09%
Scope 2	4,475	4,489	1,801,815	1,895,542	4,475	4,489	0.32%
					4,838	4,965	2.63%

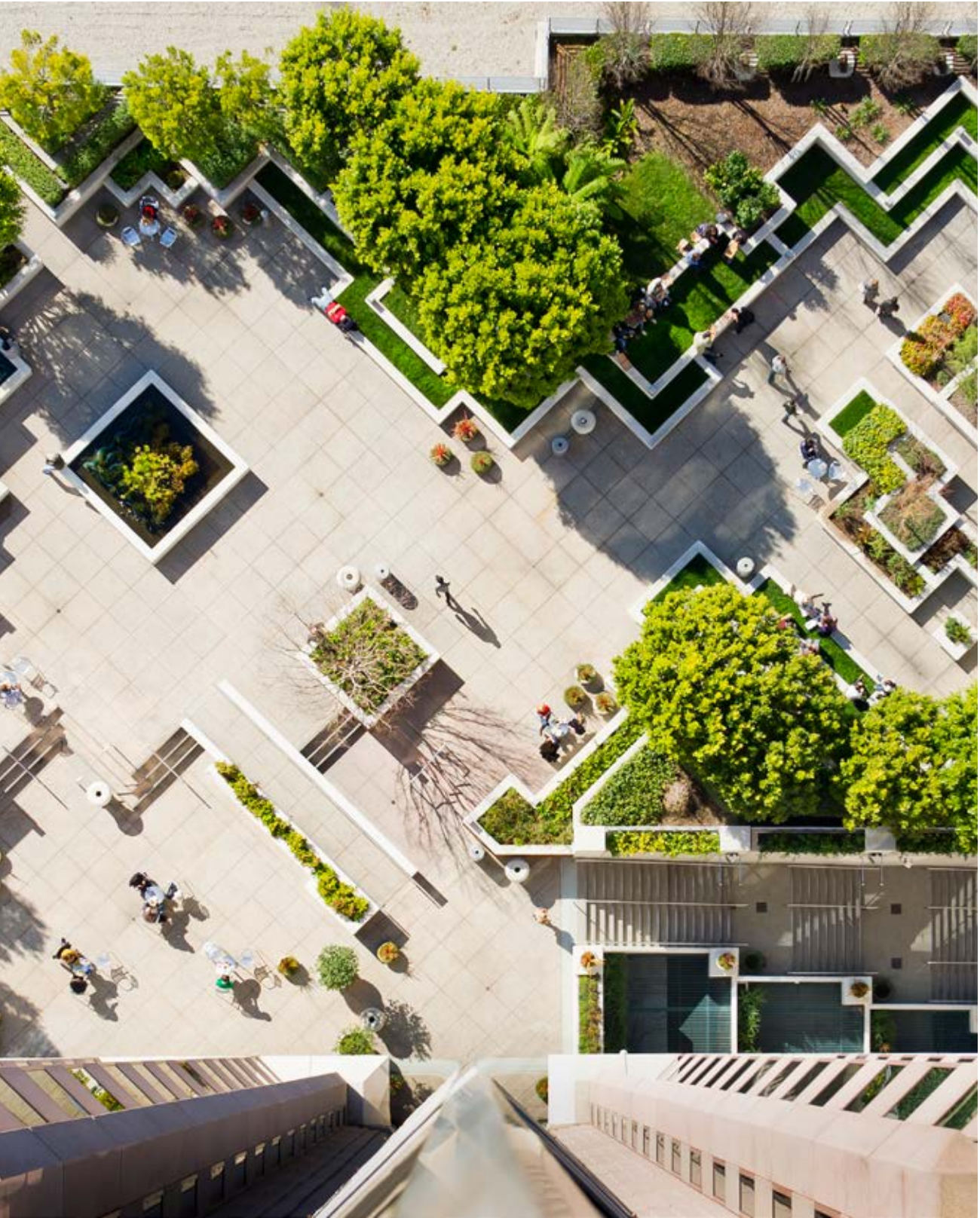
Whole Portfolio	Absolute Consumption				Like-for-Like Consumption		
	2016	2017			2016	2017	
	Emissions (Tonnes)	Emissions (Tonnes)	Data Coverage (sf)	Max Coverage (sf)	Emissions (Tonnes)	Emissions (Tonnes)	Like-for-Like Change (%)
Scope 1	4,059	4,641	11,783,615	11,783,615	3,110	3,296	6.00%
Scope 2	44,145	42,947	15,359,572	15,480,003	39,484	35,490	-10.12%
					42,594	38,786	-8.94%

¹² We utilize the EPA guidelines, via Energy Star Portfolio Manger’s Reporting tool, to generate Scope 1 and Scope 2 emissions data. Full details on how Portfolio Manager calculates greenhouse gas emissions can be found here: <https://www.energystar.gov/buildings/facility-owners-and-managers/existing-buildings/use-portfolio-manager/understand-metrics/how>.

¹³ Scope 1 emissions are related to the natural gas consumption of our directly managed properties. Scope 2 emissions are related to the electricity consumption of our directly managed properties. The energy consumption of our indirectly managed properties is part of our Scope 3 emissions, which are not included in this report.

¹⁴ One building in San Diego, which was neither sold, nor stabilized during the performance period, stood vacant in 2017. Accordingly, a sharp reduction in emissions was evident. This asset accounts for 0.98% of the absolute portfolio based on square footage.

¹⁵ 21 buildings began sourcing 100% of their energy from renewable sources in 2017 through the San Diego Gas & Electric EcoChoice program. An additional building began sourcing 100% of its power through the CleanPowerSF program. The reductions from these enrollments are reflected in the table above.



100 FIRST STREET, SAN FRANCISCO, CA



SUNSET MEDIA CENTER'S EMERGENCY PREPAREDNESS PROGRAM CONTRIBUTED TO ITS 2017 FITWEL CERTIFICATION

ENVIRONMENTAL GRIEVANCE MECHANISMS

The concept of formal environmental grievance mechanisms as contemplated by GRI is not applicable to us as a REIT. However, we have procedures in place for responding to environmental incidents, and our focus on developing urban core brownfield sites requires us to have expertise in coordinating environmental remediation. Examples of environmental issues that can arise at an existing property include water intrusion, mold, air quality or water quality issues, leaking underground storage tanks or pipes, and the presence of asbestos-containing materials or lead-based paint. Examples of environmental issues that may at our urban development sites include contaminated soil, soil vapor, and groundwater, hazardous materials, underground storage tanks, and encountering unknown structures and materials. There were approximately 82 reports completed in 2017 relating to the discovery, investigation and remediation or abatement of various environmental incidents throughout our portfolio. 5-10% of incidents that arose during 2017 are still in the process of discovery and/or remediation or abatement, but other than these few incidents, we are not aware of any other incidents that arose in 2017 that remain unresolved. None of these issues have been deemed significant, and we did not have any significant fines or non-monetary sanctions regarding environmental compliance in 2017. We had no significant spills in 2017. We had no grievances about environmental impacts filed, addressed and resolved through formal grievance mechanisms.

GLOBAL REPORTING INITIATIVE

		Page	External Assurance
GENERAL STANDARD DISCLOSURES			
Strategy and Analysis			
G4-1	Statement from the Chairman and CEO.		
Organizational Profile			
G4-3	Name of the organization.	8	
G4-4	Primary brands, products and services.	8	
G4-5	Location of headquarters.	116	
G4-6	Countries of operation.	8	
G4-7	Nature of ownership and legal form.	116	
G4-8	Markets served.	8	
G4-9	Scale of the organization.	8	
G4-10	Number of employees by employment contract, employment type and gender.	106-107	
G4-11	Percentage of total employees covered by collective bargaining agreements.	106	
G4-12	Organization's supply chain.	66	
G4-13	Significant changes during the reporting period.	130	
G4-14	Precautionary approach or principle addressed by the organization.	116	
G4-15	Externally developed economic, environmental and social charters, principles, or other initiatives the organization subscribes or endorses.	116	
G4-16	Memberships in associations and national or international advocacy organizations.	101	
Identified Material Aspects and Boundaries			
G4-17	Entities included in the organization's consolidated financial statements.	116	130-134
G4-18	Process for defining the report content and Aspect Boundaries. Implementation of the Reporting Principles for Defining Report Content.	122	130-134
G4-19	List all material Aspects identified.	122-124	130-134
G4-20	Aspect Boundary within the organization for each material Aspect.	124	130-134
G4-21	Aspect Boundary outside the organization for each material Aspect.	124	130-134
G4-22	Effect of any restatements of information provided in previous reports and reasons for restatements.	130	130-134
G4-23	Significant changes from previous reporting periods in the Scope and Aspect Boundaries.	130	130-134

		Page	External Assurance
Stakeholder Engagement			
G4-24	Stakeholder groups.	96	130-134
G4-25	Basis for identification and selection of stakeholders.	122	130-134
G4-26	Approach to stakeholder engagement, including the frequency of engagement by type and by stakeholder group, and indication of whether any engagement was undertaken specifically as part of the report preparation process.	96	130-134
G4-27	Key topics and concerns that have been raised through stakeholder engagement, and the organization response to those key topics and concerns.	96	130-134
Report Profile			
G4-28	Reporting period.	130	
G4-29	Date of most recent previous report.	130	
G4-30	Reporting cycle.	130	
G4-31	Contact point for questions regarding the report or its content.	125	
G4-32	In accordance' option the organization has chosen. GRI Content Index for the chosen option. Reference to the External Assurance Report.	130	
G4-33	Policy and current practice with regard to seeking external assurance. Scope and basis of any external assurance provided. Relationship between the organization and the assurance providers. Whether highest governance body or senior executives are involved in seeking assurance for the organization's sustainability report.	121	
Governance			
G4-34	Governance structure of the organization, including committees of the highest governance body. Identify any committees responsible for decision-making on economic, environmental and social impacts.	116-117	
Ethics and Integrity			
G4-56	Organization's values, principles, standards and norms of behaviors such as codes of conduct and codes of ethics.	116-117	
G4-57	Mechanisms for seeking advise on ethical and lawful behavior.	116-117	
G4-58	Mechanisms for reporting concerns about unethical or unlawful behavior.	116-117	

			Page	External Assurance
SPECIFIC STANDARD DISCLOSURES				
ECONOMIC				
Economic Performance				
G4-EC1	Direct economic value generated and distributed.	http://investors.kilroyrealty.com/Cache/392162577.pdf		
G4-EC2	Financial implications and other risks and opportunities for the organization’s activities due to climate change.	65-67		
ENVIRONMENTAL				
Materials				
G4-EN2	Percentage of materials used that are recycled input materials.	16		
Energy				
G4-EN3	Energy consumption within the organization.	27-28	130-134	
G4-EN6	Reduction of energy consumption.	27-28	130-134	
Water				
G4-EN8	Total water withdrawal by source.	38-39	130-134	
G4-EN10	Percentage and total volume of water recycled and reused.	38-39		
Biodiversity				
G4-EN11	Operational sites owned, leased, managed in, or adjacent to, protected areas and areas of high biodiversity value outside protected areas	90-92		
Emissions				
G4-EN15	Direct greenhouse gas (GHG) emissions (Scope 1).	68	130-134	
G4-EN16	Energy indirect greenhouse gas (GHG) emissions (Scope 2).	68	130-134	
G4-EN19	Reduction of greenhouse gas (GHG) emissions	68	130-134	
Effluents and Waste				
G4-EN23	Total weight of waste by type and disposal method.	40-41	130-134	
G4-EN24	Total number and volume of significant spills.	40-41		
Compliance (Environmental)				
G4-EN29	Monetary value of significant fines and total number of non-monetary sanctions for non-compliance with environmental laws and regulations.	71		
Environmental Grievance Mechanisms				
G4-EN34	Number of grievances about environmental impacts filed, addressed and resolved through formal grievance mechanisms.	71		

			Page	External Assurance
SOCIAL: LABOR PRACTICES AND DECENT WORK				
Training and Education				
G4-LA9	Average hours of training per year per employee by gender, and by employee category.		109	
G4-LA10	Programs for skills management and lifelong learning that support the continued employability of employees and assist them in managing career endings.		106-109	
G4-LA11	Percent of employees receiving regular performance and career development reviews, by gender and by employment category.		109	
Diversity and Equal Opportunity				
G4-LA12	Composition of governance bodies and breakdown of employees per category according to gender, age group, minority group membership, and other indicators of diversity.		108	
SOCIAL: HUMAN RIGHTS				
Non-discrimination				
G4-HR3	Total number of incidents of discrimination and corrective actions taken.		106	
SOCIAL: SOCIETY				
Local Communities				
G4-SO1	Percentage of operations with implemented local community engagement, impact assessments and development programs.		87	
Anti-corruption				
G4-SO5	Confirmed incidents of corruption and actions taken.		116	
Anti-competitive Behavior				
G4-SO7	Total number of legal actions for anti-competitive behavior, anti-trust, and monopoly practices and their outcomes.		116	

This is our seventh corporate sustainability report and sixth developed in accordance with GRI guidelines. This is our fifth report using the G4 guidelines. The report covers all of our activities, all of which are located in the United States, during calendar year 2017. We publish a corporate sustainability report on an annual basis. The last Kilroy Realty corporate sustainability report was published in April 2017 and covered calendar year 2016. Since our last report, there have been no significant restatements. Since last year’s report, we have decreased the square footage of our stabilized portfolio by approximately 2.2% percent, from 14.0 million square feet to 13.7 million square feet. Like-for-like, our occupancy decreased over this period from 96% to 95.2%. We have chosen the ‘Core’ in accordance option for our sustainability report. The external assurance report can be found on page 131. The external assurance provider has used the AA1000 Assurance Standard (08) as the basis of the assurance.



Independent Assurance Statement

Scope and Objectives

DNV GL Business Assurance USA, Inc. (DNV GL) was commissioned by Kilroy Realty Corporation (KRC) to conduct independent assurance of its 2017 Sustainability Report (the Report), for the year ended 31 December 2017, as published on the company's website at: <http://kilroyrealty.com/sites/default/files/kilroy-realty-corporation-sustainability-report-2017.pdf>

Our assurance engagement was planned and carried out in accordance with AA1000AS (2008), using DNVGL's VeriSustain methodology. VeriSustain is based on our professional experience, international assurance best practice including AA1000 Assurance Standard, and the Global Reporting Initiative (GRI) Sustainability Reporting Guidelines. We understand that the reported financial data and information are based on data from KRC 2017 Annual Report, which is subject to a separate independent audit process. The review of financial data taken from the Annual Report is not within the scope of our work.

We planned and performed our work to obtain the evidence we considered necessary to provide a basis for our assurance opinion. We were engaged to provide Type 2 moderate level assurance, which covers:

- Evaluation of adherence to the AA1000AS (2008) principles of inclusivity, materiality and responsiveness (the Principles); and
- The reliability of specified sustainability performance information and related claims in the report including energy consumption (page 28), greenhouse gas (GHG) Scope 1 and 2 emissions (page 68), waste generated (page 41), and water use assertions (page 39) (the performance data)

A 'high level' of assurance would have required additional work at the headquarters and site level to gain further evidence to support the basis of our assurance opinion. We evaluated the performance data using the reliability principle.

We followed the procedures as outlined in the VeriSustain protocol to complete the project. We used the Global Reporting Initiative (GRI) Quality of Information Principles (Balance, Clarity, Accuracy, Reliability, Timeliness and Comparability) as criteria for evaluating performance information together with KRC's data protocols for how the data are measured, recorded, and reported. The reporting criteria against which the GHG verification was conducted is the World Business Council for Sustainable Development (WBSCD)/World Resources Institute (WRI) Greenhouse Gas Protocol.

Responsibilities of Kilroy Realty Corporation and of the Assurance Providers

KRC has sole responsibility for preparation of the Report. DNV GL's responsibility was to carry out the assurance engagement on the Report in accordance with our contract with KRC. Our statement, however, represents our independent opinion and is intended to inform all KRC's stakeholders.

DNV GL was not involved in the preparation of any statements or data included in the Report, except for this assurance statement. This is our fifth year of providing assurance for KRC. We adopt a balanced approach towards all stakeholders when performing our evaluation.

DNV GL's assurance engagements are based on the assumption that the data and information provided by the client to us as part of our review have been provided in good faith. DNV GL expressly disclaims any liability or co-responsibility for any decision a person or an entity may make based on this Assurance Statement.

Independence

DNV GL's established policies and procedures are designed to ensure that DNV GL, its personnel and, where applicable, others are subject to independence requirements (including personnel of other entities of DNV GL) and maintain independence where required by relevant ethical requirements. This engagement work was carried out by an independent team of sustainability assurance professionals.

Basis of our opinion

A multi-disciplinary team of sustainability and assurance specialists performed work at headquarters and site level. We undertook the following activities:

- Review of the current corporate responsibility issues that could affect KRC and are of interest to stakeholders;
- Review of KRC's approach to stakeholder engagement and recent outputs;
- Review of information provided to us by KRC on its reporting and management processes relating to the Principles;
- Visit to the corporate Headquarters in Los Angeles
- Conduct interviews with the Senior VP Development and Government Affairs, VP Legal Corporate, Senior Coordinator Human Resources, and Senior Vice President Sustainability. They are responsible for areas of management and stakeholder relationships covered by the Report. The objective of these discussions was to understand top level commitment and strategy related to corporate responsibility and KRC's governance arrangements, stakeholder engagement activity, management priorities, and systems;
- Assess documentation and evidence that supported and substantiated claims made in the Report;
- Review the specified data collated at the corporate level, including data gathered by other parties, and statements made in the Report. We interviewed managers responsible for internal data validation,

reviewed their work processes, and undertook sample-based audits of the processes for generating, gathering, and managing the quantitative and qualitative sustainability data;

- Provide feedback on a draft of the report based on our assurance scope.

In addition, the following methods were applied during the verification of KRC’s GHG Scope 1 and 2 emissions:

- Review of documentation, data records and sources relating to GHG emissions assertions and claims
- Review of the processes and tools used to collect, aggregate and report on all GHG data and information;
- Assessment of environmental information systems and controls, including:
 - Selection and management of all relevant GHG data and information;
 - Processes for collecting, processing, consolidating, and reporting the relevant environmental data and information;
 - Design and maintenance of the GHG information system;
 - Systems and processes that support the GHG information system.
- Performed sample-based audits of the processes for generating, gathering and managing GHG data;
- Examination of all relevant environmental data and information to develop evidence for the assessment of the GHG claims and assertions made;
- Confirmation of whether or not the organization conforms to the verification criteria.

Opinion

On the basis of the work conducted, nothing came to our attention to suggest that the Report does not properly describe KRC’s adherence to the Principles of Inclusivity, Materiality, and Responsiveness. In terms of the reliability of the performance data, nothing came to our attention to suggest that these data and claims have not been properly collated from information reported at operational level, nor that the assumptions used were inappropriate.

Observations

Without affecting our assurance opinion, we also provide the following observations.

Inclusivity: the participation of stakeholders in developing and achieving an accountable and strategic response to sustainability.

KRC is committed to continuous dialogue with its stakeholders, using both formal and informal avenues, to understand their expectations, concerns, and needs as well as to increase awareness of the company’s sustainability objectives. This is evident in efforts such as the Green Janitor Education Program, the 2017 employee satisfaction survey, and community engagement during the development process.

Furthermore, the company’s approach to its sustainability strategy and reporting is informed by inputs at different levels of the organization from varied sources such as government officials, tenants, employees and non-

governmental organizations. During the materiality refresh conducted in preparation for the development of the 2017 report, KRC engaged internal stakeholders and a limited number of external stakeholders. We recommend that Kilroy continue to validate its prioritization of its material issues with key stakeholders to ensure that the company is shaping its sustainability strategy to effectively address the issues most relevant to these stakeholders.

Materiality: identification of those issues which are necessary for stakeholders to make informed judgments concerning the organization and its impacts.

KRC conducted a materiality refresh in 2017-2018 to confirm the topics covered in the Report. As part of this process, KRC reviewed its mapping of stakeholders impacted by the company’s activities and the material issues that are most relevant to them. The Report presents an update of KRC’s activities and sustainability performance and addresses the most material environmental and social issues facing the company and its stakeholders.

In 2017, KRC conducted a preliminary analysis of its Tier 1 suppliers and engaged with them to better understand their ethics programs. The company also reviewed risks related to health and safety for contracted janitorial services. We recommend that the company build on these efforts and perform a formal sustainability risk assessment process which can inform the development of systems for monitoring and reviewing supplier performance in areas of high risk.

Responsiveness: the extent to which the organization responds to stakeholder issues

During our review, we found evidence that KRC engages and responds to stakeholders throughout the company’s operations and that sustainability is integrated into decision-making process. The Report presents a good overview of how the company has consulted with stakeholders and responded to emerging sustainability issues. After reporting its Scope 1 and 2 GHG emissions for the first time in its 2016 report, we commend the company for updating its science-based target for its GHG emissions based on best practices from the Science Based Targets Initiative.

Performance Information:

KRC’s reporting of performance including the disclosure of data is comprehensive and the indicators disclosed in a balanced manner. Goals and performance data are presented objectively, with clear and balanced representation of 2017 performance and challenges.

Our review of GHG emissions, energy, waste, and water data presented in the report resulted in minimal technical errors being identified based on our sampling. These errors have been corrected for the final report. The systems for production and collation of these data appear, from our review, to be reliable and capable of producing complete and consistent data. We note, as in the previous two years, the company’s continued efforts to limit manual data transfers between raw data and its consolidated reporting to minimize risks to data integrity.

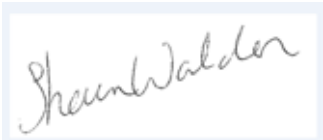
As noted in previous assurance statements, we recommend that Kilroy continue to follow an established quality review process for all data collected in Energy Star Portfolio Manager. Furthermore, we recommend that the company document within Energy Star Portfolio Manager any unique factors related to data assumptions, invoices, metering, etc. at the building level to ensure replicability of performance calculations. These two process checks can help ensure reliability of the data collection and consolidation processes as well as consistency in the assumptions used across the portfolio to calculate the environmental data.

KRC’s GHG assertions are that 47,588 metric tons of CO₂e were emitted in 2017; 4,641 metric tons of CO₂e for Scope 1, 42,947 metric tons of CO₂e for Scope 2. Based on the processes and procedures conducted with a moderate assurance, there is no evidence that these GHG assertions are not materially correct and are not a fair representation of GHG data and information, and have not been prepared in accordance with the WBSCD/WRI GHG Protocol referenced above.

DNV GL Business Assurance USA Inc.
Oakland, California
May 10, 2018



Natasha D’Silva
Lead Assuror



Shaun Walden
Technical Reviewer

The purpose of the DNV GL group of companies is to promote safe and sustainable futures. The USA & Canada Sustainability team is part of DNV GL Business Assurance, a global provider of certification, verification, assessment and training services, helping customers to build sustainable business performance. www.dnvgl.com



